

DIXON & CO.

Investments – Portfolio Group 4

Mr. Rajamouli's Portfolio Overview

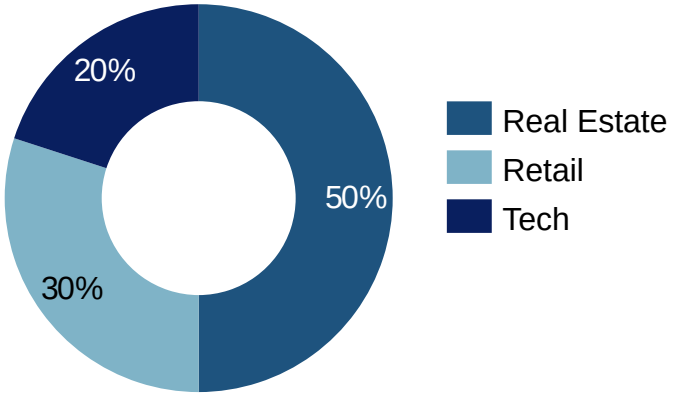
Koduri Srisalla Sri Rajamouli

Growth-oriented, creative, and globally minded with moderate-to-high risk tolerance

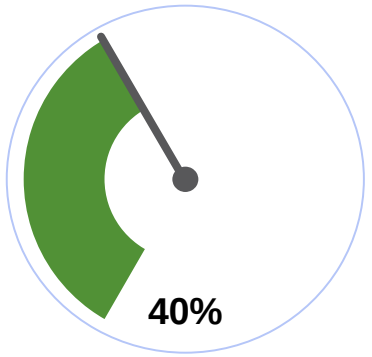
Client Overview

- S.S. Rajamouli
- Born in 1973 (52)
- Based in Hyderabad, India
- Prominent film director and producer

Historical Investments



ESG Preferences



Supports several **environmental** initiatives, particularly focused on his home region.

ESG Preferences

1. **Growth:** Sees growth as essential to sustaining creative freedom
2. **Innovation:** Values bold innovative ideas that push boundaries
3. **Global Trends:** Monitors global behavior to spot where culture and capital are moving
4. **Cultural Ties:** Prioritizes investments rooted in Indian cultural identity

esade

"I don't need any more money … I have a two-room flat and a car I drive myself. I don't need anything more



S.S. Rajamouli
Indian Filmmaker and Director

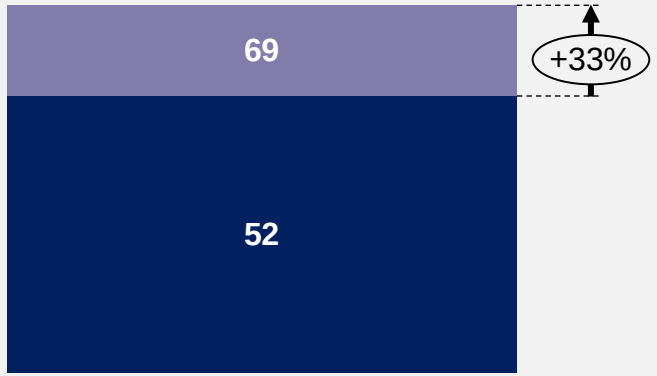
Investor Assessment & Objectives

Growth-oriented, creative, and globally minded with moderate-to-high risk tolerance

Time Horizon

- **Age 52: intermediate remaining investment horizon**, meaning he is transitioning into the **wealth conservation** stage
- India's average life expectancy is **~69 years**.
- **17-year horizon** to structure long-term retirement decisions

Remaining Horizon

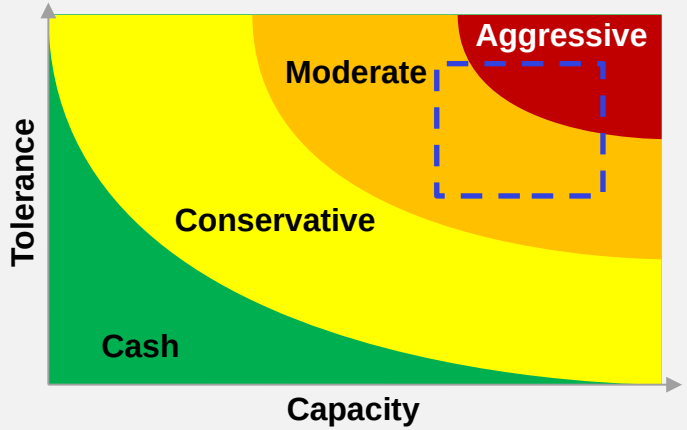


Attributed Score: **Intermediate**

Risk Tolerance

- **Focus gradually shifting toward wealth preservation,** balancing long-term growth with prudent management of capital
- **Continues to take controlled risk,** consistent with his approach to filmmaking, where high-stakes creative decisions yield outsized long-term rewards

Risk Profile

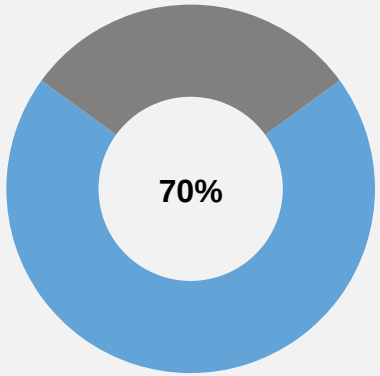


Attributed Score: **Moderate-to-High**

Loss Capacity

- High income and accumulated wealth: **strong capital base**
- Cyclical, illiquid, capital-intensive industry (film) **exposes him to project-specific and market risks**
- Investments in real estate are illiquid, further **limiting immediately deployable capital**

Free Asset Ratio



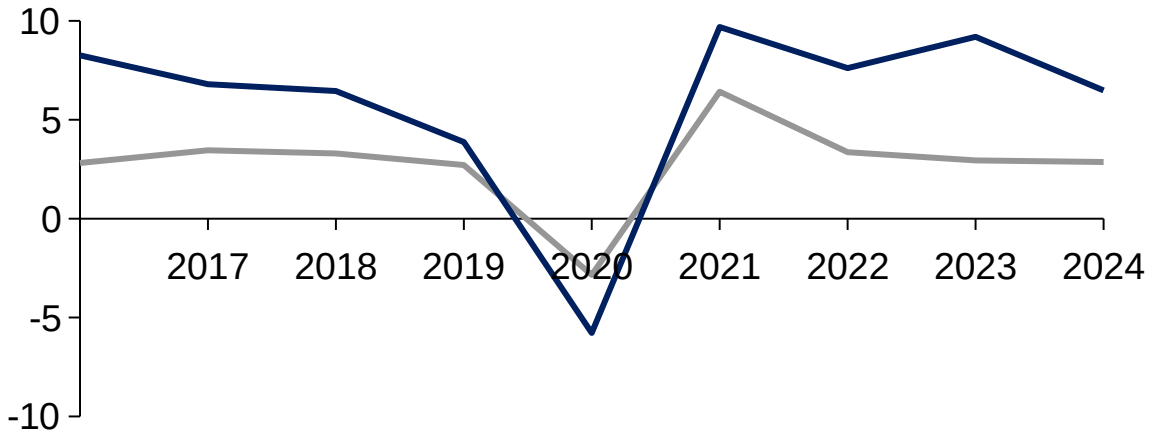
Attributed Score: **70%**

Source: Statista

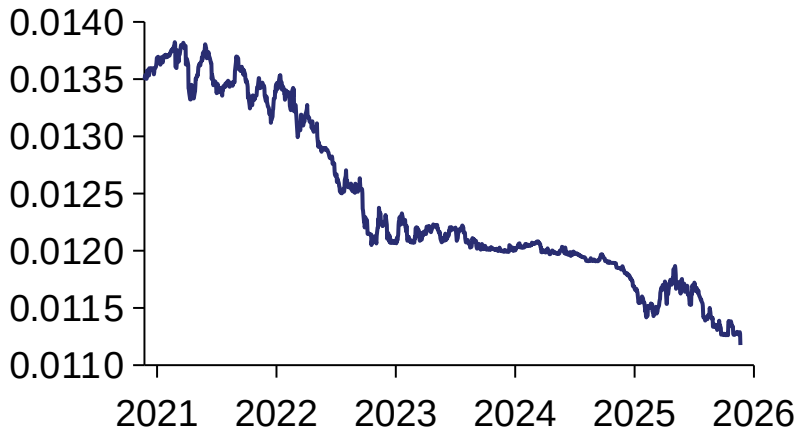
Macroeconomic Outlook & Assumptions

India remains a high-growth outlier, but currency and global macro risks still require disciplined diversification

Global vs India GDP Growth [%]



INR/USD Conversion Rate



Base currency's **depreciation** exposes Rajamouli to FX risks, and increases portfolio volatility

Tailwinds

Tailwinds

- **Strong Indian Economic Momentum**
  High GDP growth, rising consumption, and structural reforms supporting long term-equity performance
- **Stabilizing Global Inflation**
  Eases pressure on risky assets and supports recovery in both equities and fixed income
- **Favorable Demographics in Emerging Countries**
  Young populations, rising incomes, and investment inflows strengthen long-run demand and productivity

Headwinds

Headwinds

- **INR Depreciation vs USD**
  Increases cost of global exposure and adds FX volatility to international holdings
- **Geopolitical & Regulatory Uncertainty**
  US-China tensions, regional conflicts, and shifting domestic regulations create cross-border risk and sector-specific shocks
- **Slowing Global Growth in Major Markets**
  US and EU growth moderation can dampen global equity performance and emerging market flows

Source: WorldBank,

Investment Strategy

Applied Structured Investment Principles to Shape a Globally Diversified Portfolio

Strategy Anchors

Philosophy

Growth-oriented vs. value
The art in blending; creating new value aligned with passion, while retaining and protecting his value

Active vs. passive management approach
Passive management is chosen for broad diversification, lower fees, and reliable market returns with minimal trading risk

Cultural Adoption
The portfolio reflects Rajamouli's creative and cultural background, focusing on media and global storytelling trends

Hybrid Investment Approach
We blend bottom-up and top-down approaches to capture both quality individual investments and key sector trends

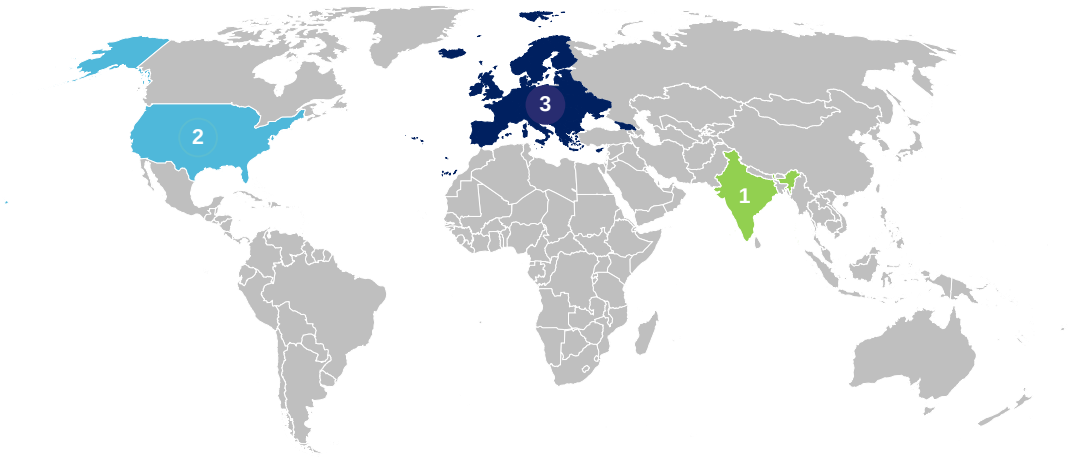
Style Factors & Themes

Growth
High-growth companies - tech, healthcare innovation

Thematic
Allocate to entertainment/media industry leaders, Indian tech, and creative companies

ESG
Committed to sustainability and social impact in India. Aligning with Rajamouli's values and the creative ethical evolution

Geographic Exposure



1 — Domestic market expertise; captures India's growth (M&E sector to $73.6B by 2027, digital expansion)

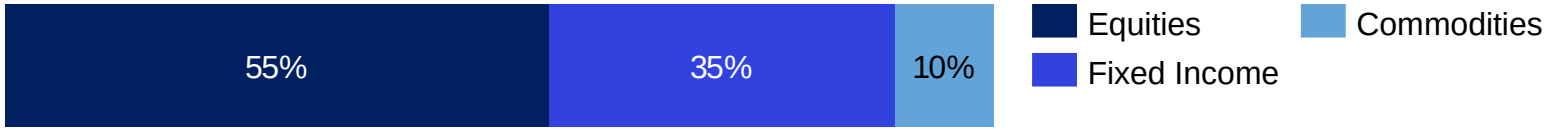
2 — Access to global tech/media leaders, largest capital markets, innovation hubs; and Hollywood studios driving content innovation

3 — Geographic diversification, exposure to European blue chips, luxury brands, media conglomerates

Our 4 Steps of Risk Mitigation

Steps of Diversification

1. Asset Type



Impact

- Reduces **correlation** and **volatility**
- Protects capital during **drawdowns** and **cyclicality**

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- Reduces **correlation** and **volatility**
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2. Geographic Exposure



- Reduces **political** & **regulatory risk** concentration
- Captures **global growth** opportunities

Our 4 Steps of Risk Mitigation

Steps of Diversification

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2. Geographic Exposure



- Reduces **political** & **regulatory risk** concentration
- Captures **global growth** opportunities

3. Currency Split



- Hedge against **USD volatility**
- Reduces import- or export-driven **inflation exposure**

Our 4 Steps of Risk Mitigation

Steps of Diversification

1. Asset Type



Equities
Commodities
Fixed Income

2. Geographic Exposure



Europe
India
United States
Emerging Markets

3. Currency Split



Indian Rupee
US Dollar
Euro

4. Sector Diversification



Financial Services
Consumer Goods
Technology
Industrials
Healthcare

Impact

- Reduces **correlation** and **volatility**
- Protects capital during **drawdowns** and **cyclicality**

- Reduces **political** & **regulatory risk** concentration
- Captures **global growth** opportunities

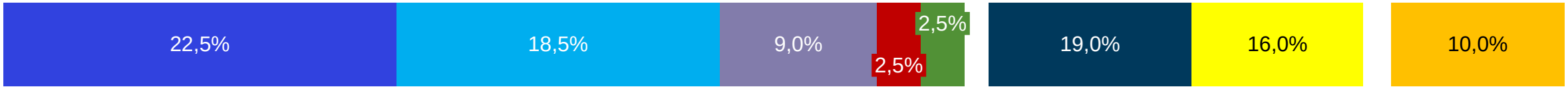
- Hedge against **USD volatility**
- Reduces import- or export-driven **inflation exposure**

- Balances **defensive** & **growth** sectors
- Captures sector-specific **innovation trends**

ETF Selection & Weighting

Built a Globally Diversified, Multi-Asset ETF Portfolio Backed by Clear Investment Rationale

S&P 500	Nippon India	Euro STOXX 50	Dynamic Media	SBI ESG Exclusionary S. Fund	Gilt (8-13 Yr Govt)	EM Corporate Bond ETF	Gold
SPY	JBEES	FEZ	PEJ	SBIMEDG	RELGILT	CEMB	GBEES
• Top 500 US	• Top 50 IND	• Top 50 EU	• Media • Entertainment • content	• EQ fund using ESG criteria IND	• Gov. Bonds IND 8–13-year mat.	• Emerg. Market Corp. Bonds	• Physical gold prices
• Captures **innovation** & **high profit margins** • Provides **liquidity** & **innovation**	• Captures India's **emerging leaders** • Reflects Rajamouli's **local market knowledge**	• Geographic **diversification** • **EU blue chips** • Reduces **concentration risk**	• Directly aligns Rajamouli's **film industry** expertise	• Following **global trends** • Reflects **ESG motivation**	• **Low-risk** portfolio • Tactical rebalancing and supports **near-term liquidity**	• Delivers **above-market yields** • Enhances **fixed-income diversification**	• **Inflation protection** & **USD hedge** • Gold reinforcing **resilience** in volatile markets



Alternative Allocations Considered

Eliminated assets due to insufficient risk-adjusted returns, misalignment, or dominance by alternatives on the Efficient Frontier

Asset Class	Instrument	Ticker / ISIN	Reason
Equity ETF India large-cap	NBEES IS Equity – Nifty 50 ETF	NBEES IS Equity	Excluded by Markowitz optimisation (not on efficient frontier for target portfolios).
Equity ETF Europe broad market	iShares STOXX Europe 600 UCITS ETF (DE)	not specified	Lower return than SPY for similar volatility; rarely selected by Markowitz.
Equity ETF Global clean energy	iShares Global Clean Energy ETF	ICLN	Good ETF, but client expected to prefer India-focused ESG exposure.
Bond fund India corporate bonds	RELMIDG IN Equity – Nippon India Corporate Bond Fund	RELMIDG IN Equity	Excluded by Markowitz optimisation (not on efficient frontier for target portfolios).
Bond ETF International	Vanguard Total International Bond Index Fund	BNDX	Negative annualised historical return; low expected return.
Bond ETF Global aggregate (€ hedged)	iShares Core Global Aggregate Bond UCITS ETF EUR Hedged	EUNA GY Equity	Negative return for ~10% volatility; never selected in Markowitz optimisation.
Single stock	PRIME FOCUS LTD	not specified	Volatility too high for a single stock; excluded by Markowitz optimisation.

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Back testing

Assessing the Impact of Rebalancing & Hedging

Assumptions & constraints

Rf+Rp	Insample	Outsample
E(R)	3.43%	10.00%
Vol.	6.93%	5.24%
SR	-0.10	1.119
Skew	-0.86	-0.85
VaR(90%)	-0.45	-0.34
Kurtosis	10.98	7.39

Assumptions

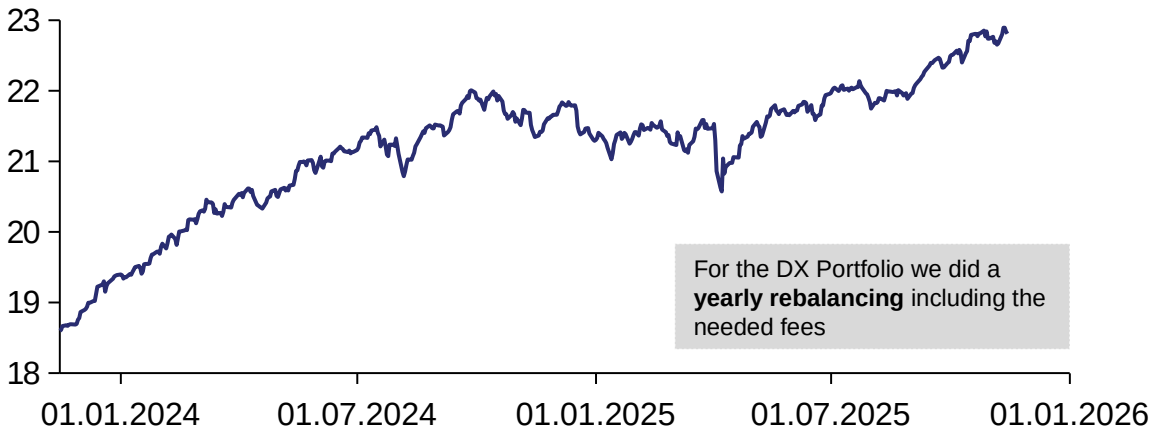
1) Risk free is 10 Year US Bond
2) Portfolio is entirely in USD, in contrast to the home currency of Indian ETFs INR

Contraints

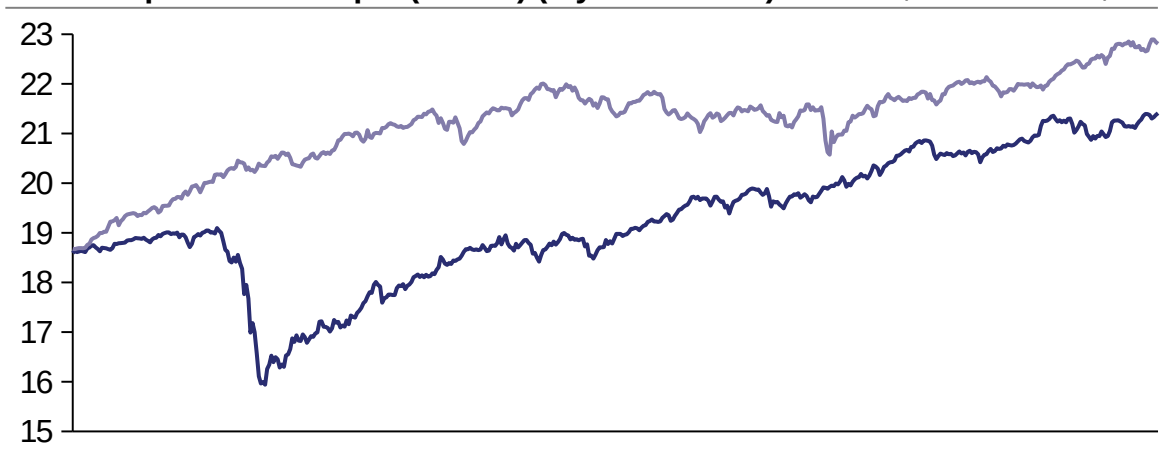
1) Objective = Max Sharpe Ratio
2) Fixed Income weight >= 35%
3) Total Indian Exposure <= 40%
4) STOXX 50 & SBIMESG >=2.5%
5) Gold <=10%
6) Make Un-constraints variables non-negative
7) Sum of weights = 1

	US 10Y Bond
Rf	4.14

Rebalancing strategy (US$ M)



Out sample vs. In sample (US$ M) (2-year horizon)

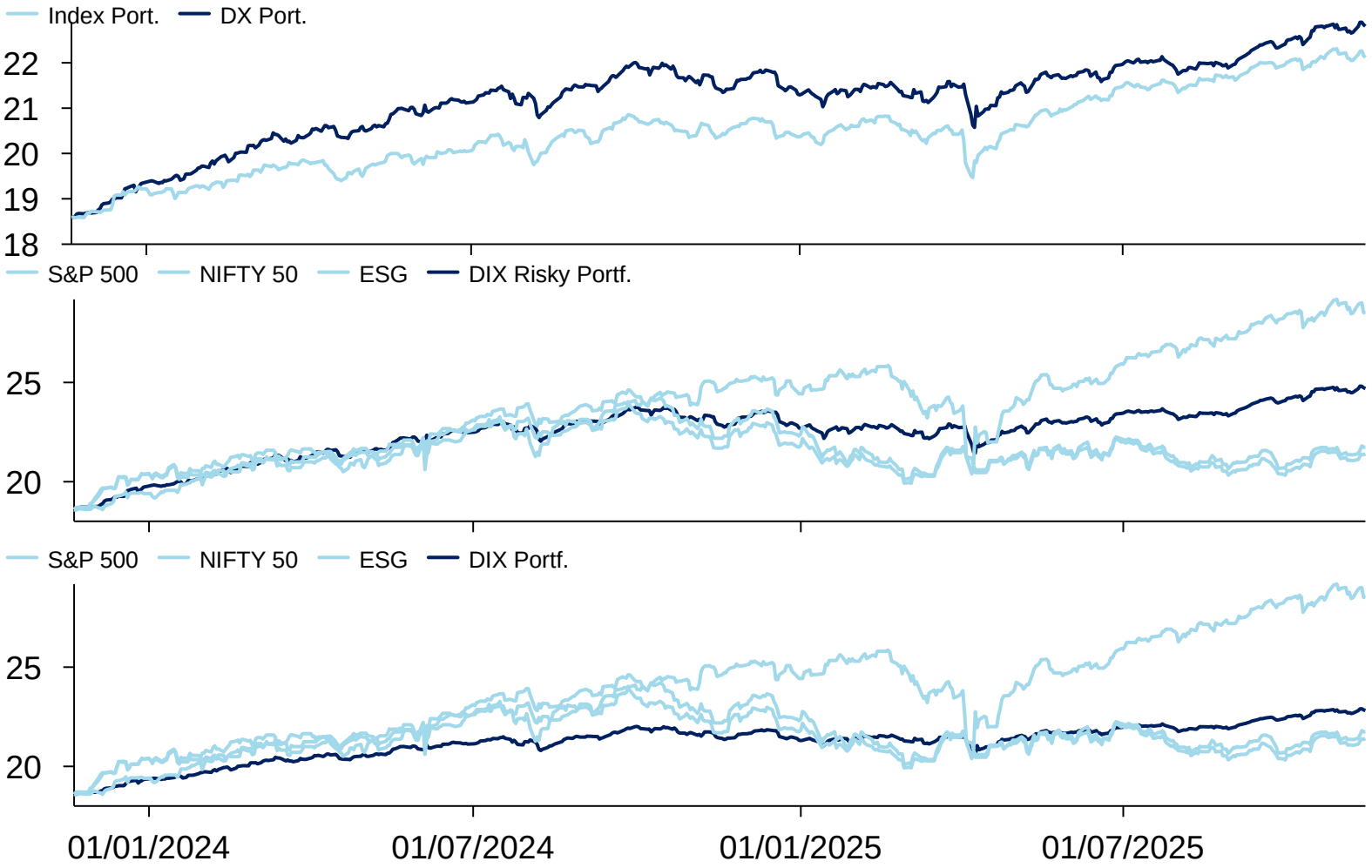


Hedge Type	Present?	How?
Currency Hedge	⚠️ Indirect	Foreign asset exposure but not hedged
Equity Downside Hedge	⚠️ Partial	Bonds and gold cushion drawdowns
Inflation Hedge	✔️ Yes	Gold + equities
Interest Rate Hedge	⚠️ Partial	Govt & corporate bonds (rate sensitive)
Explicit Derivative Hedge	❌ No	None present

Portfolio performance

Assessing Portfolio Efficiency vs. Benchmark

Comparisons of Portfolios



Weights of the customized index

- **30% Cash /10 Y US bond**
- **35%** MSCI ACWI IMI **(Global All-Cap Equity)**
- **21%** Bloomberg Global Aggregate Bond Index **(Global Bonds)**
- **7% S&P GSCI Gold Index (Gold)**
- **7%% MSCI India IMI (Indian Equity)**

Metric	DX Portf.	Custom Index
E(R)	**9.995%**	8.515%
Vol.	5.24	5.2326
SR	1.117	0.836
Skew	-0.85	-0.85
VaR(90%)	-0.34	-0.30
VaR(95%)	-0.53	-0.51
VaR(99%)	-1.04	-0.89
Kurtosis	7.39	8.55

- Negative skew (-0.85) means returns lean toward larger downside losses, not gains.
- High kurtosis (7.39) shows fat tails, meaning rare but losses are more likely
- Strong return and solid Sharpe ratio indicate efficient performance.

THANK YOU!



Henry Dixon



Mia Becker-Cooper



Clemens Bene



Malak Fanous



Alejandro Font-Beltran



Tomiris Kabidullina



Appendix

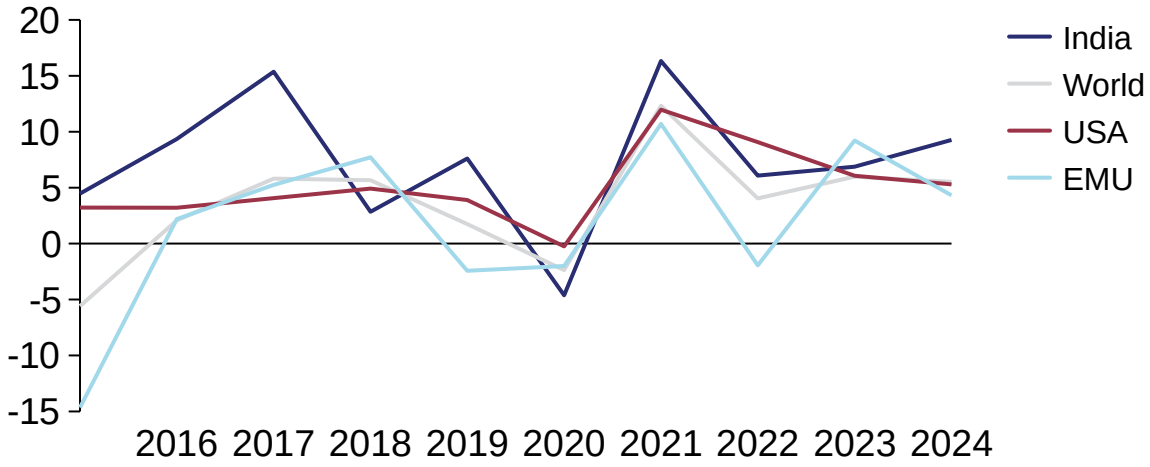
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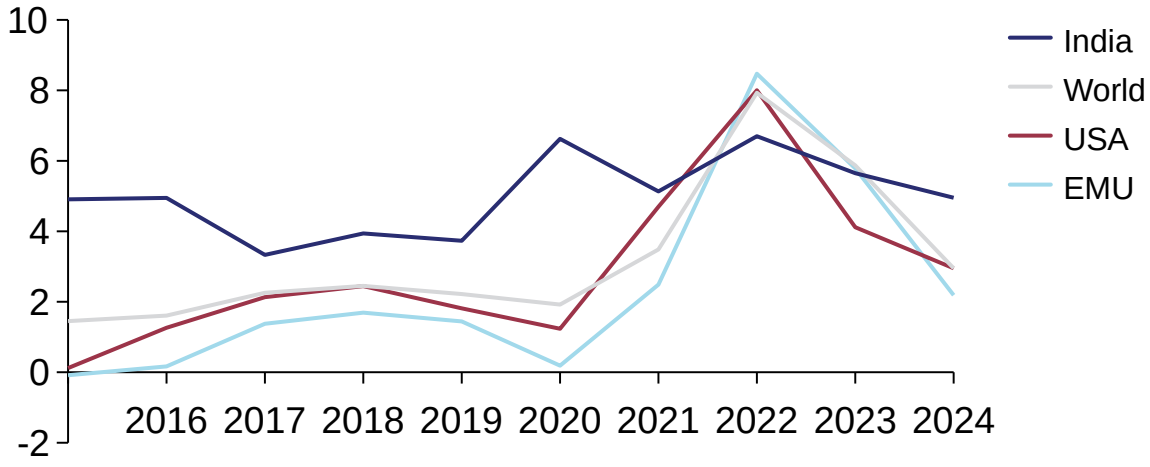
Appendix I

General Economic Outlook

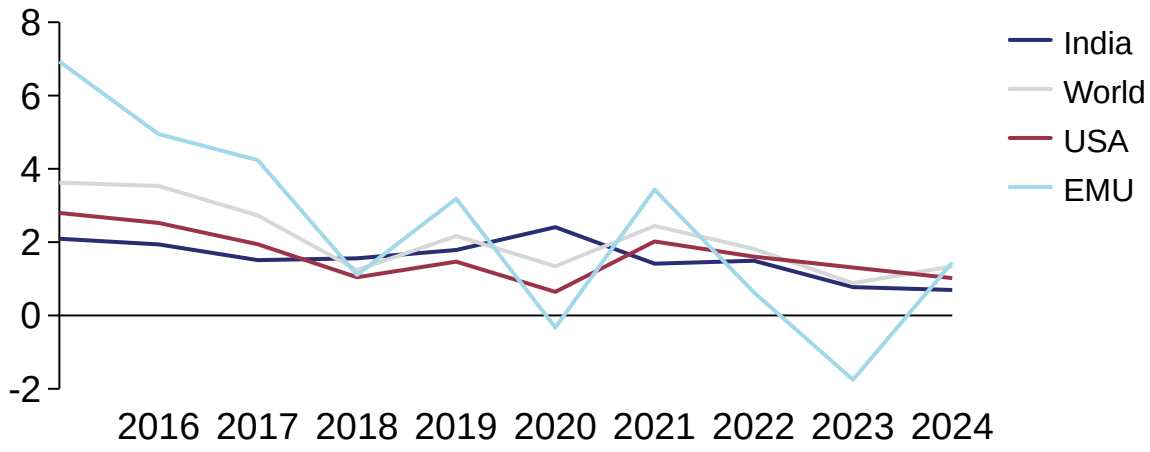
Final Consumption Expenditure Growth [%]



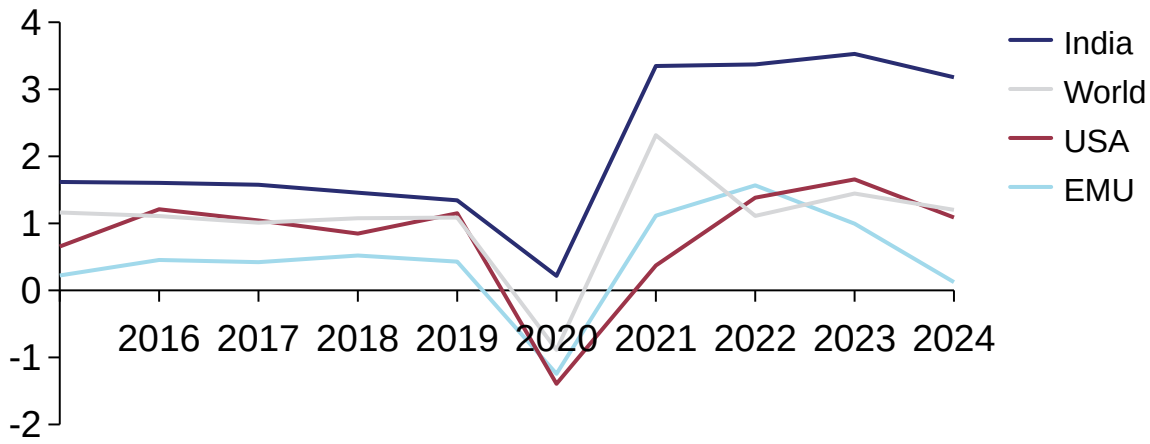
Inflation, consumer prices [%]



Foreign Direct Investment, net inflow [% of GDP]



Labor Force Growth [%]

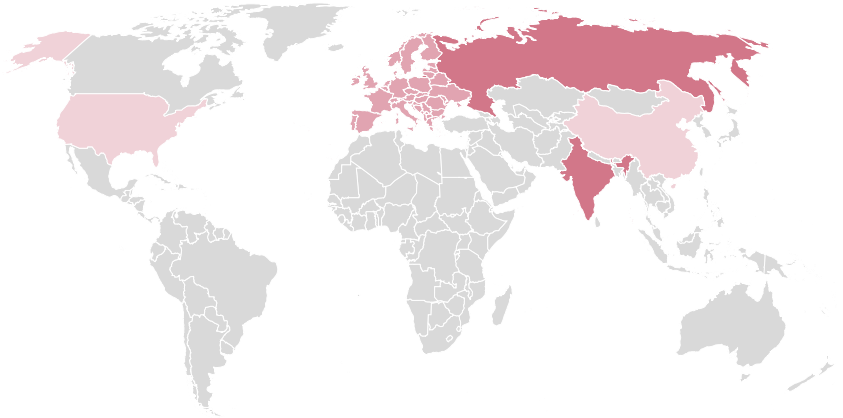


Source: WorldBank

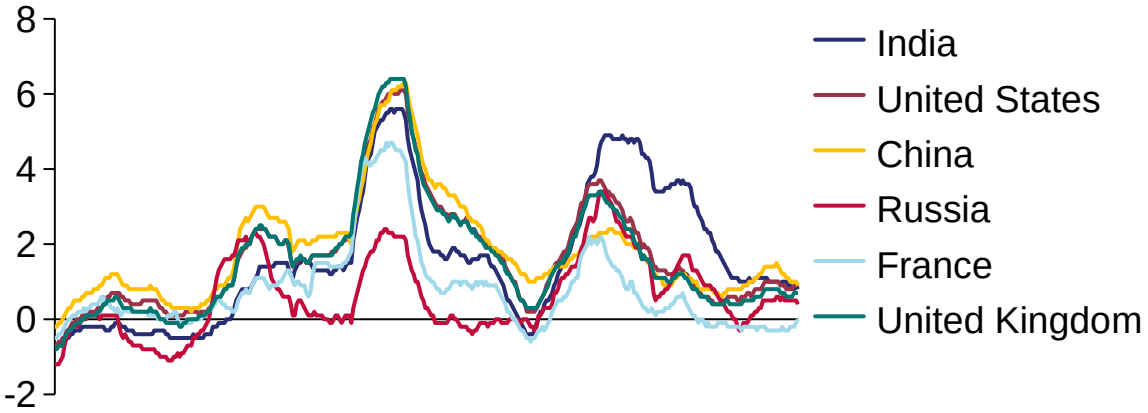
Appendix II

Geopolitical Outlook

Geopolitical Risk Sentiment Index



Trade Policy Uncertainty



Major Geopolitical Events

2022

Russia-Ukraine War Implications for India

Energy price volatility, commodity exposure, FX sensitivity

2023

India-Pakistan Tensions (Cross-Border Incidents)

Regional risk premium, potential capital outflows, investor caution

2024

India-China Trade & Strategic Adjustments

Supply chain disruption, tech/manufacturing sector risk, EM exposure

2025

US-China Trade Tensions

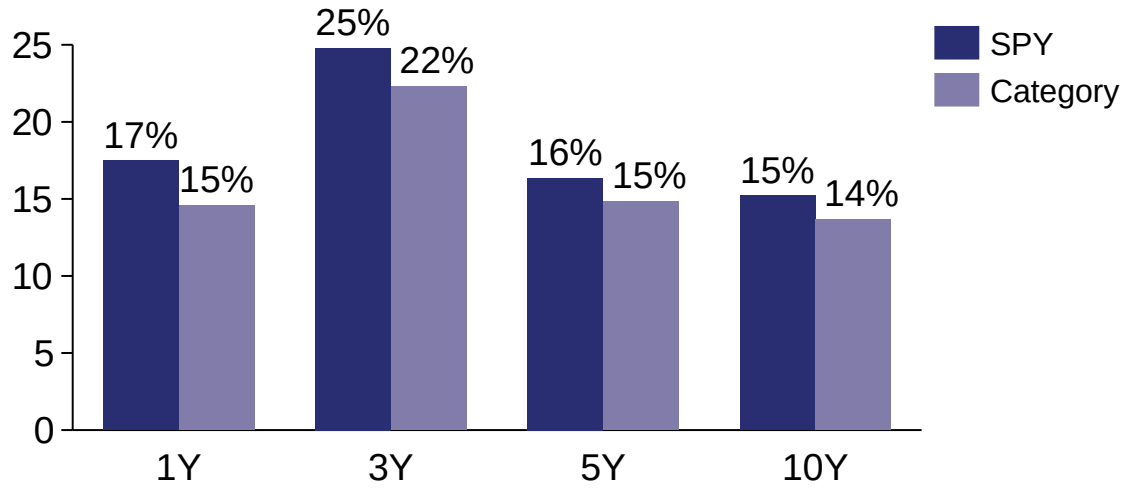
Trade diversion creates opportunities for India, regulatory and currency risks persist

Source: BBVA

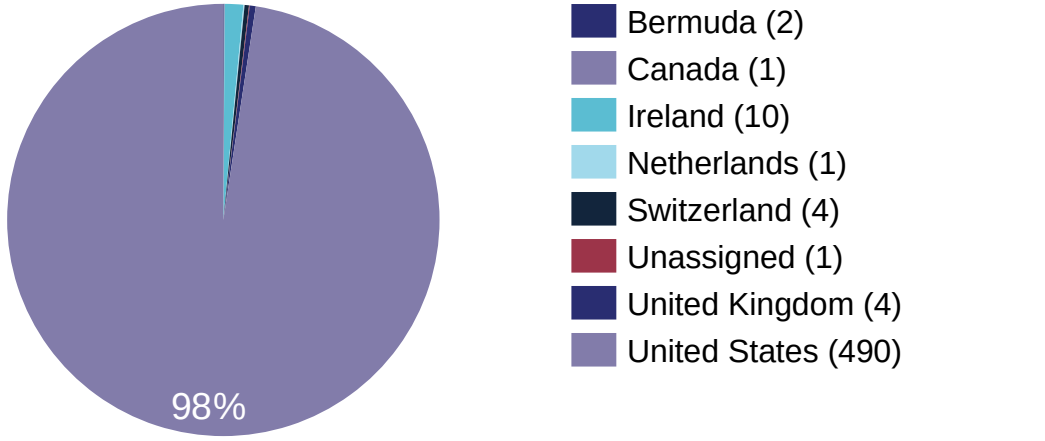
Appendix III

SPY UP Equity (USD): Top 500 US companies across all major sectors

Historical Returns [10Y, %]



Country Weight Breakdown [%]



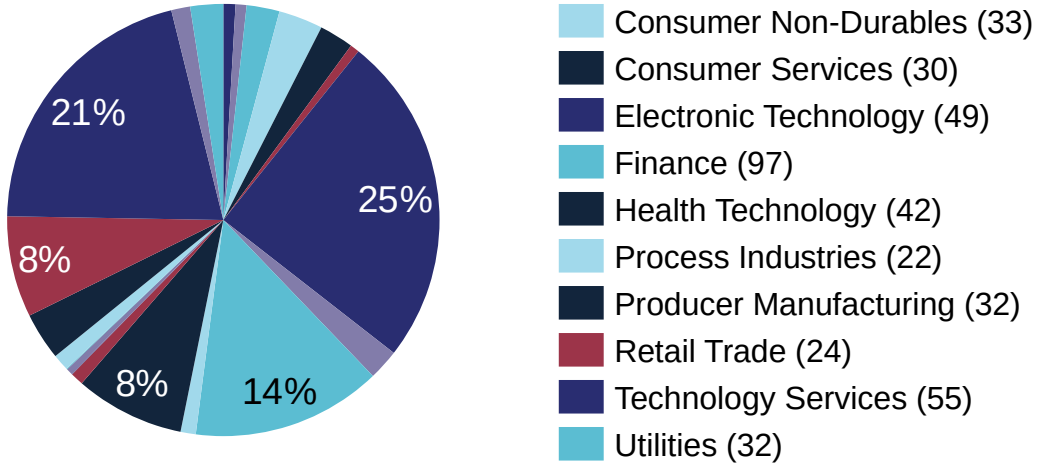
Top Positions by Portfolio Weight

NVIDIA

Microsoft

amazon

Industry Weight Breakdown [%]

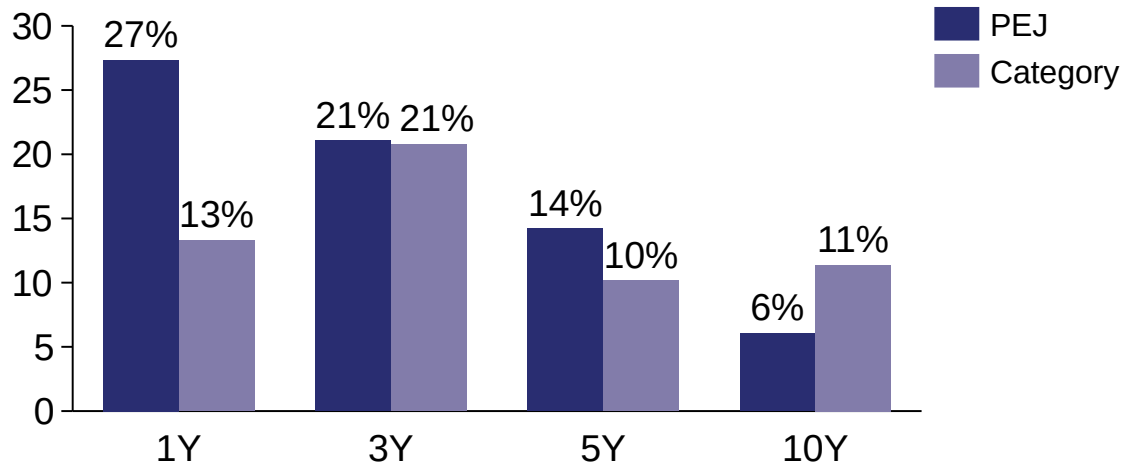


Source: Factset,

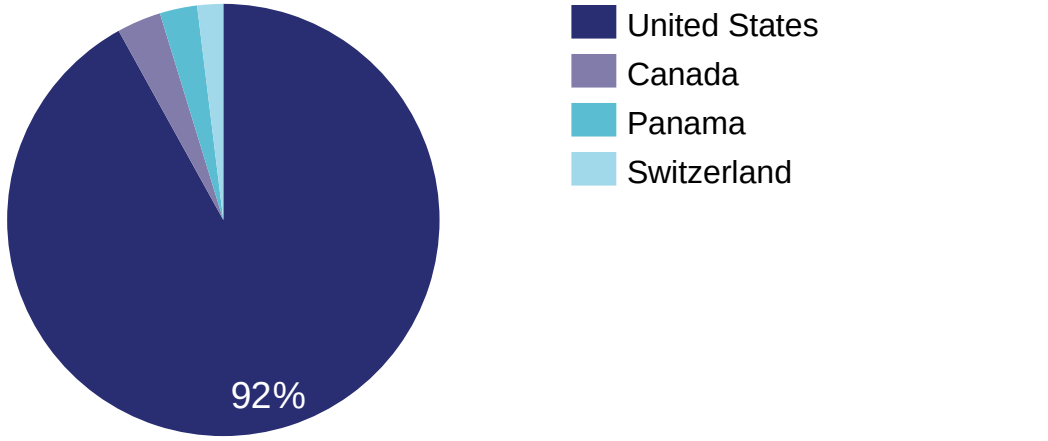
Appendix III

PEJ US Equity: Invests in U.S. media, entertainment, and leisure companies with structural tailwinds

Historical Returns [10Y, %]



Country Weight Breakdown [%]



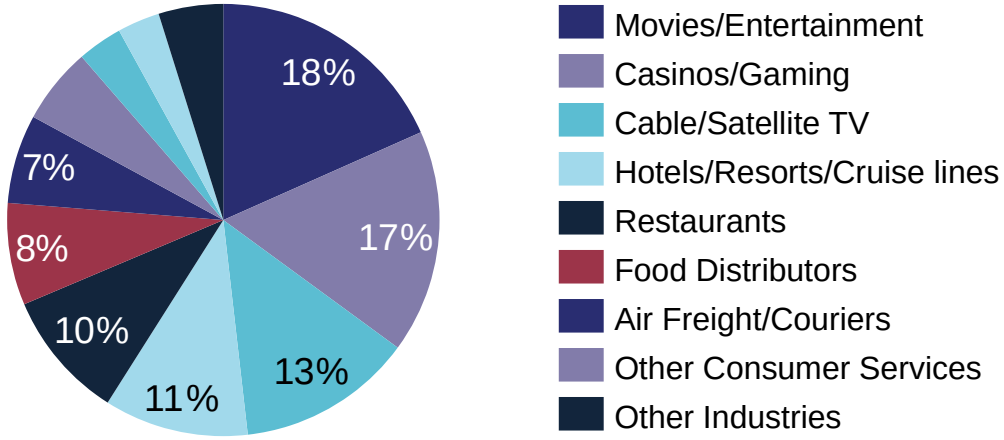
Top Positions by Portfolio Weight

Sysco™

DOORDASH

Sands
LAS VEGAS SANDS CORP.

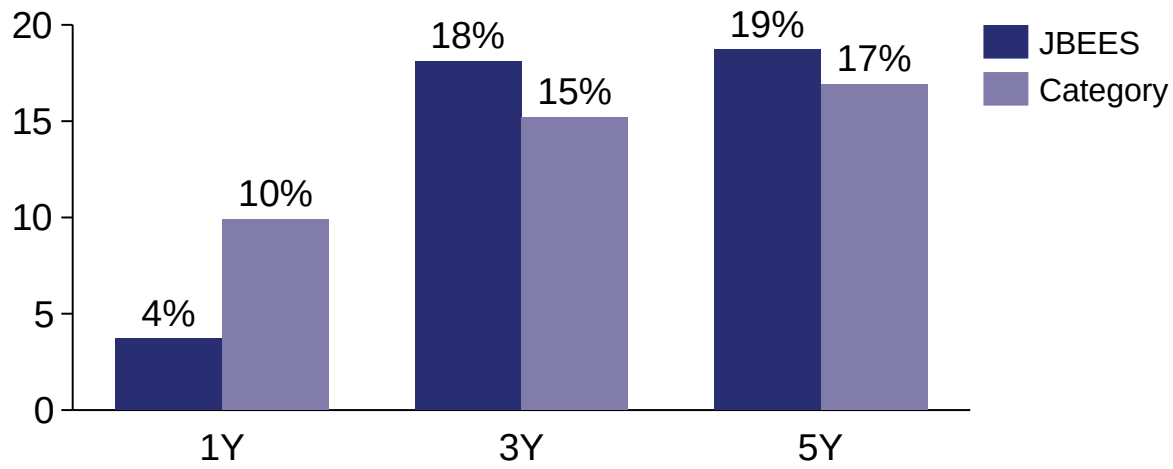
Industry Weight Breakdown [%]



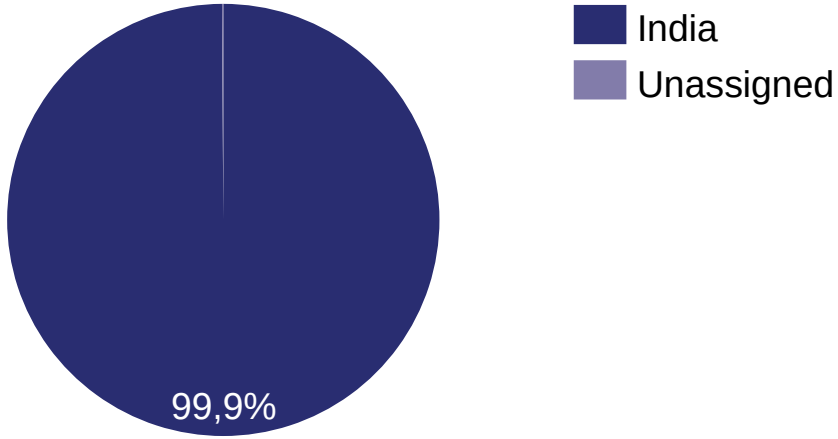
Appendix III

JBEES IS Equity: Provides exposure to the top 50 companies ranked 51-100 in India by market cap

Historical Returns [5Y, %]



Country Weight Breakdown [%]



Top Positions by Portfolio Weight

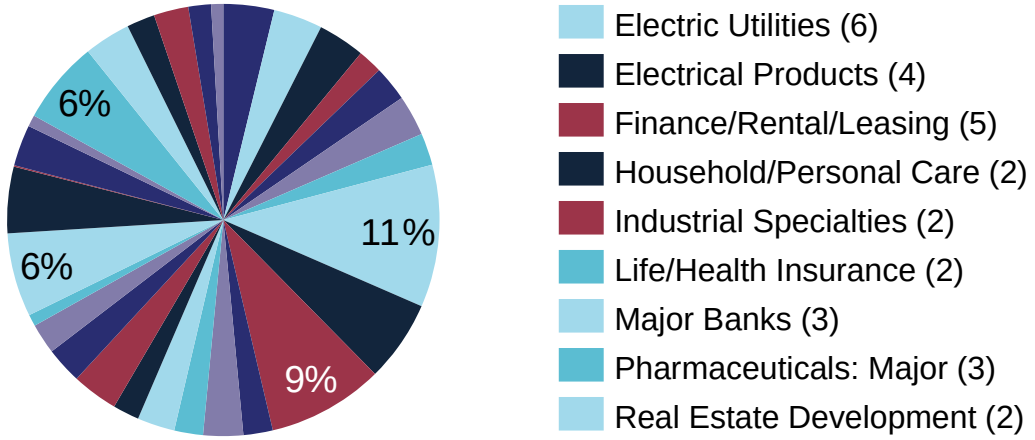
HAL

Divis

vedanta
transforming for good

TVS

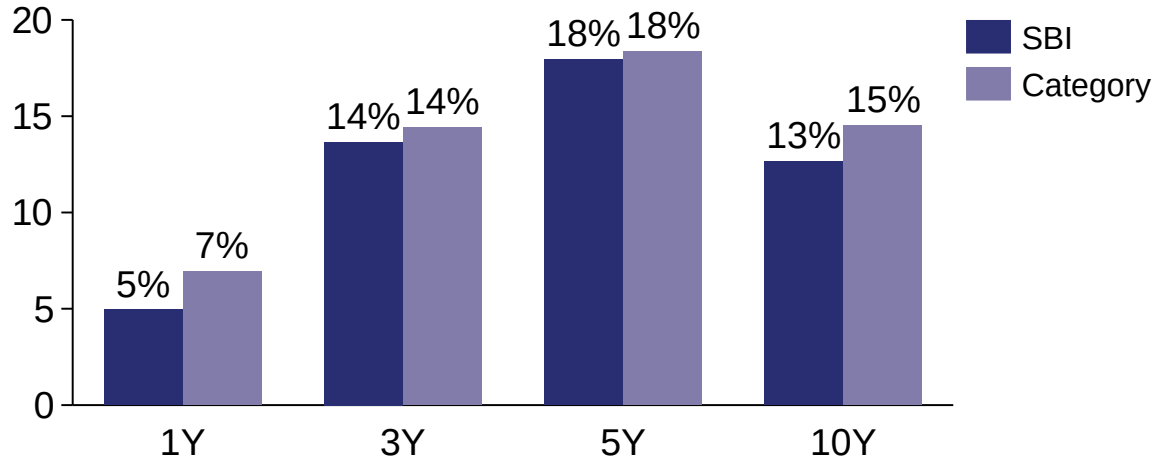
Industry Weight Breakdown [%]



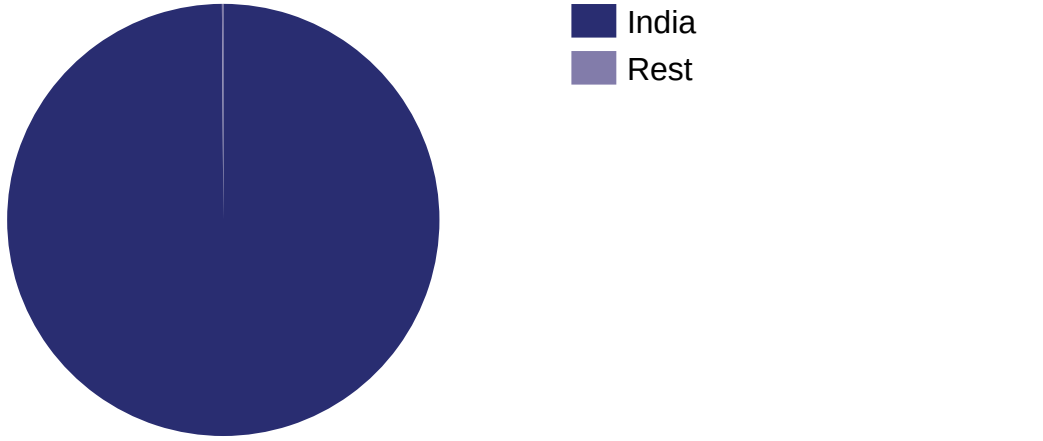
Appendix III

SBI ESG Exclusionary Strategy Fund – Indian Equity (ESG): Follows an ESG-screened portfolio excluding non-compliant sectors and companies

Historical Returns [10Y, %]



Country Weight Breakdown [%]



Top Positions by Portfolio Weight

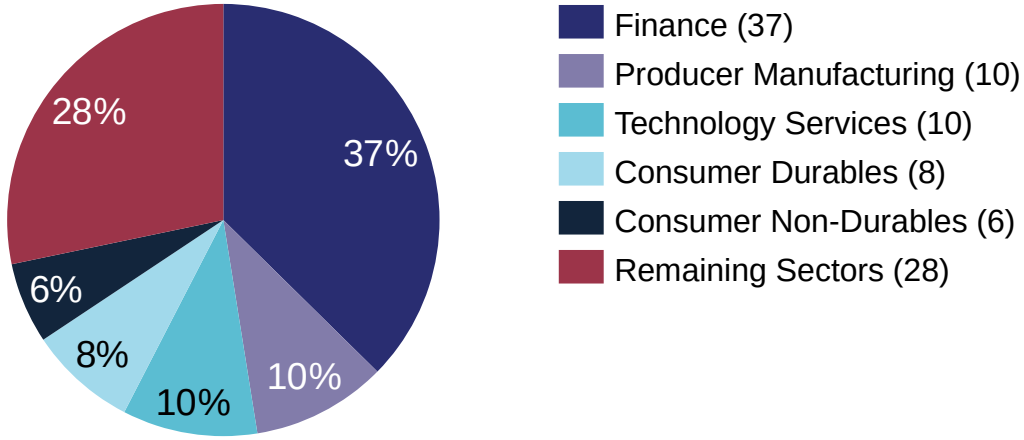
HDFC BANK

Infosys

ICICI Bank

AXIS BANK

Industry Weight Breakdown [%]

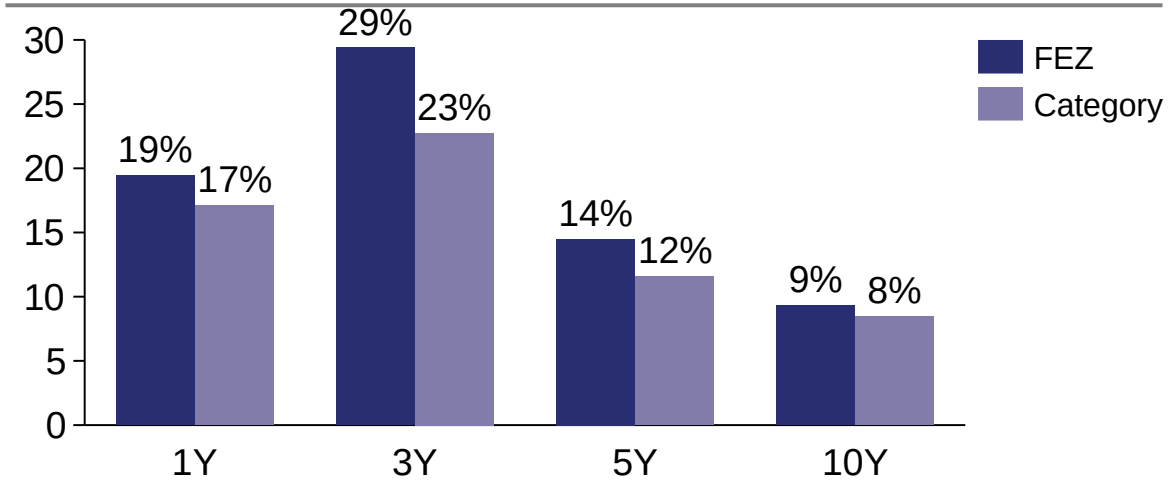


Source: Factset, Morningstar

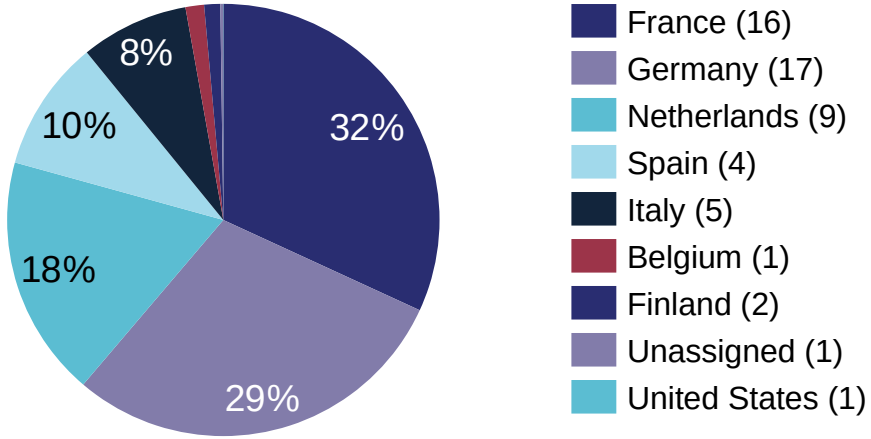
Appendix III

FEZ US Equity: Tracks the performance of 50 leading blue-chip companies across the Eurozone

Historical Returns [10Y, %]



Country Weight Breakdown [%]



Top Positions by Portfolio Weight

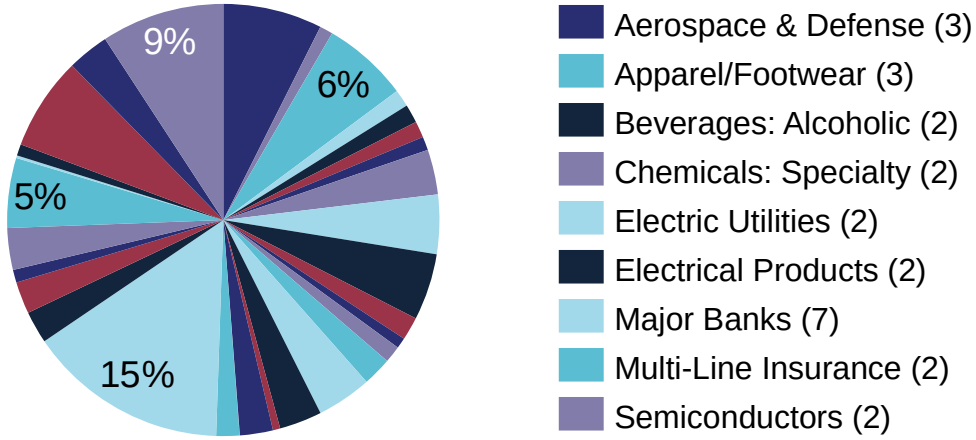
ASML

SAP

SIEMENS

LVMH

Industry Weight Breakdown [%]



Source: Factset